Retail Banking 2026: Margins, Payments and Credit Risk

Financial Services sector briefing

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Bank margins under pressure

Net interest margin down to 2.7%
Deposit costs up 85 bps
Fee income grew 9% on payments

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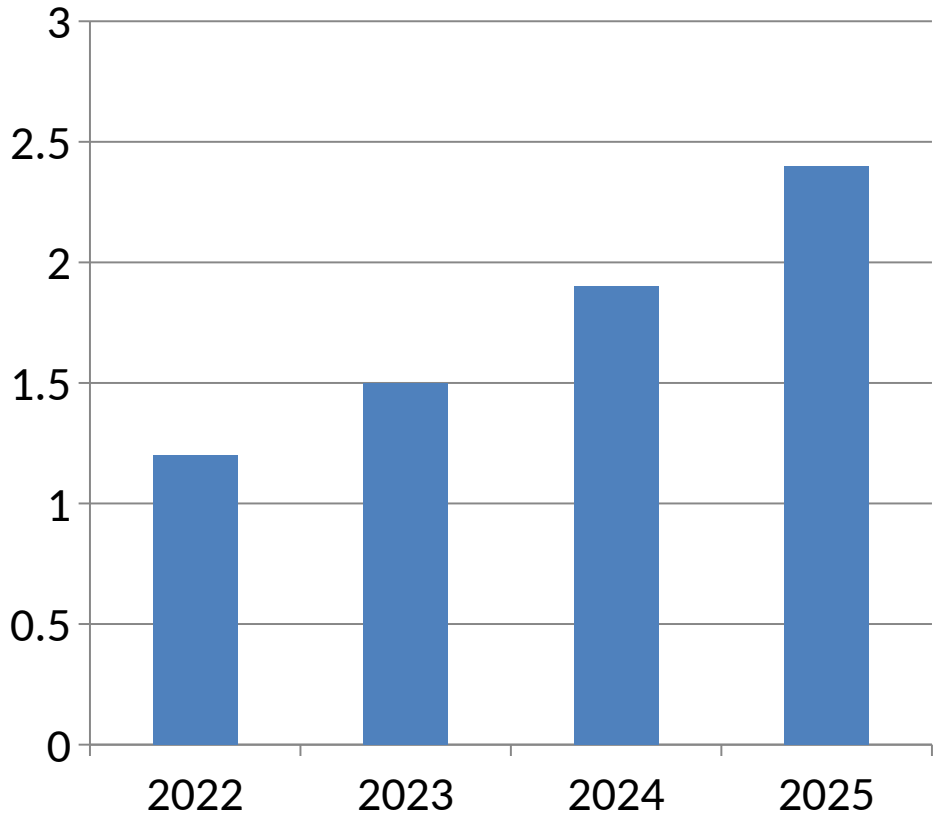
Digital payments volume surges

Card and wallet payment transactions climb



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Loan book by segment

Mortgage lending dominates the balance sheet

Segment	Loans ($B)
Mortgage	210
SME lending	64
Credit card	38

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Digital bank vs branch cost

Digital banking cost per account $18
Branch banking cost per account $64

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Next steps for the bank

Reprice deposits and protect NIM
Scale payments and fintech partnerships
Tighten credit risk models

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